Impact of Social Media on Investment Behaviour

Introduction: A New Source of Financial Information

Platforms

Investors increasingly consult Instagram, YouTube and X (Twitter) for market commentary and trade ideas.

Finfluencers

Individual creators amplify stock tips and narratives — often faster and more emotionally charged than traditional media.

Key Question

Does social media meaningfully influence investment decisions and behavioural biases among investors?

Research Objectives

The study aimed to examine three core questions:

- Do investors use social media as a source of financial information?
- To what extent do social media recommendations affect actual investment decisions?
- Are behavioural biases—FOMO, herd behaviour, availability bias—present and amplified by social media?

Methodology: Survey Design & Sample

Data collection

Questionnaire-based survey administered to 204 participants. Analysis focused on the 187 active investors to improve reliability.

Key sample notes: Over 91% reported real market experience — suitable for behavioural inference.

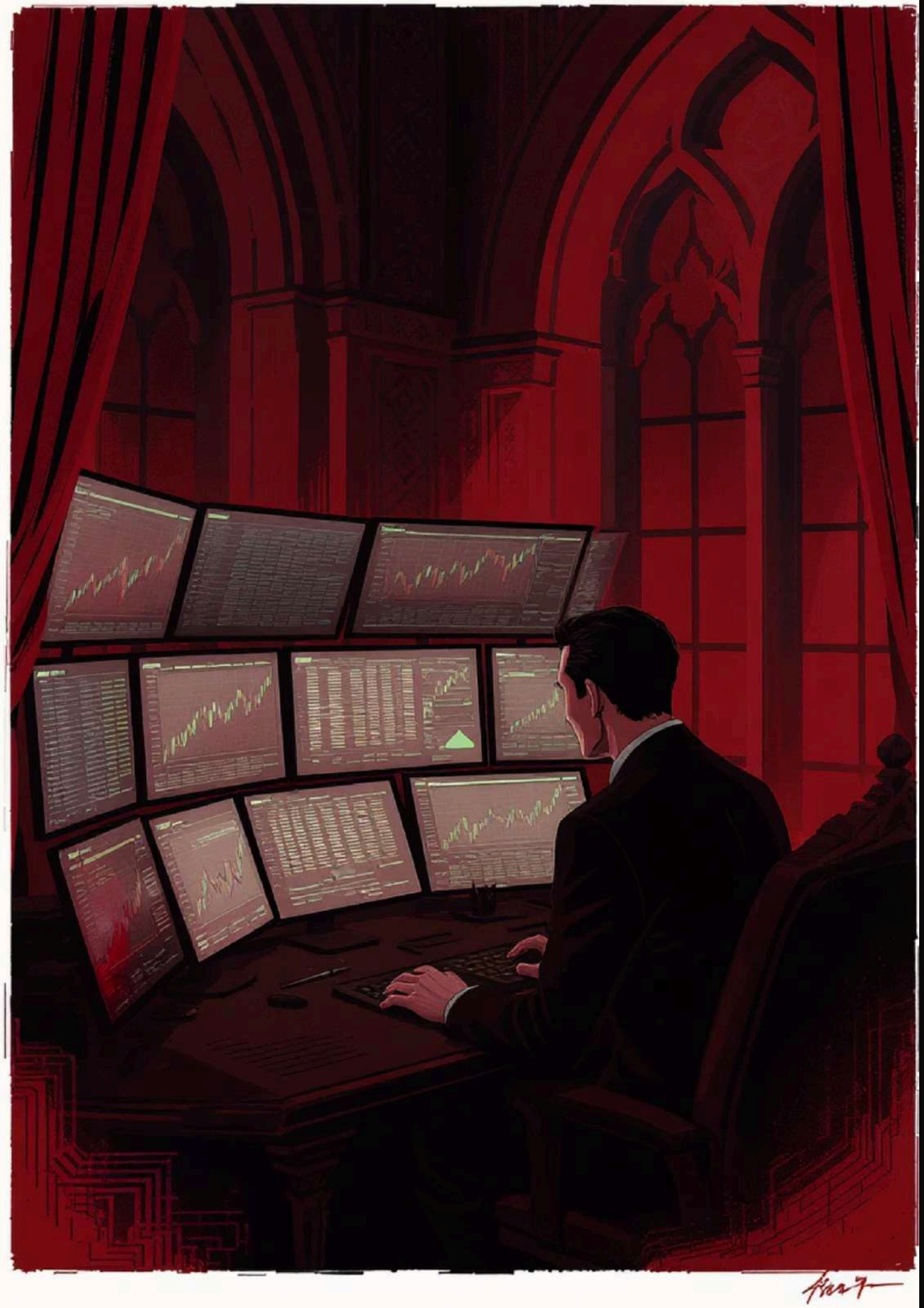
Demographic Profile

Age

126 respondents aged above 40; 43 respondents aged 21–25; remainder distributed across other age bands.

Gender

157 male and 47 female respondents — indicates continued male predominance in participation.



Investment Experience

Respondent experience levels:

More than 5 years

128 respondents — majority, implying sophisticated market exposure.

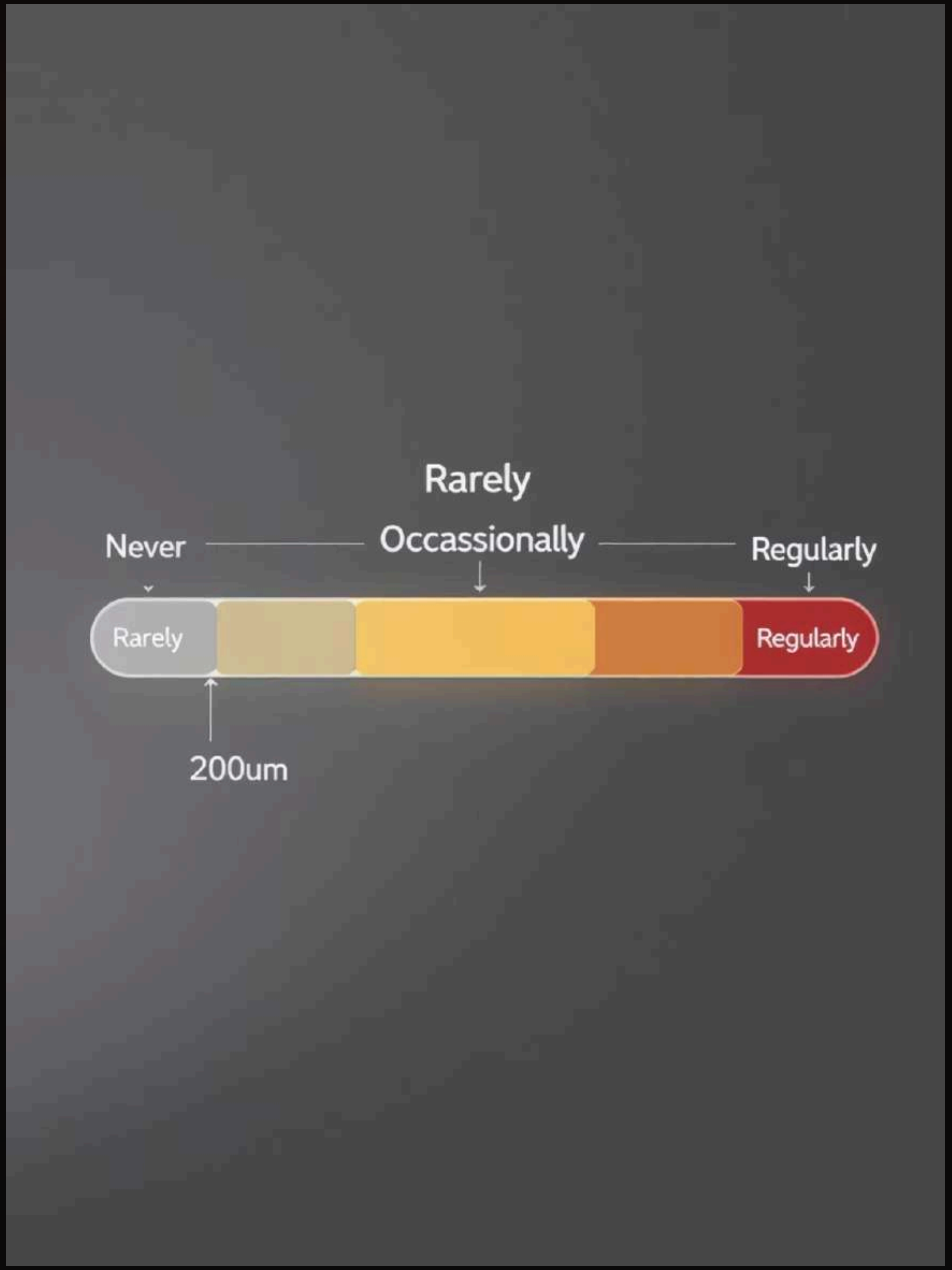
1–5 years

43 respondents (30 with 1–3 years; 13 with 3–5 years).

<1 year

33 respondents — novice cohort to compare behaviour against experienced investors.

Exposure to Financial Content



How often respondents follow financial content on social media:

- Occasionally: 76
- Regularly: 46
- Rarely: 47
- Never: 35

Insight: More than half interact with financial content at least occasionally — consistent exposure that can shape perceptions.

Behavioural Impact: Following Social Media Advice

Never

115 respondents reported they never invest solely based on social media recommendations.

Rarely

56 respondents — most common response after 'never'.

Sometimes / Frequently

27 sometimes, 6 frequently — minority who may be most susceptible to influence.

Key takeaway: 84% rarely or never act solely on social media advice — suggests social media is influential but not the primary decision-maker for most respondents.

Verification Behaviour Before Investing

Responses on verifying information:

- Always verify: 124
- Often verify: 51
- Sometimes: 19
- Rarely / Never: 10 (6 rarely, 4 never)

Conclusion: Approximately 86% verify information before investing — a strong behavioural safeguard against impulsive decisions driven by social posts.

Behavioural Finance Perspective – Key Biases

1. Fear of Missing Out (FOMO)

Rapid success stories and highlight reels create pressure to act quickly, increasing impulsive trades.

2. Herd Behaviour

Visible popularity (likes, retweets) encourages following the crowd rather than independent analysis.

3. Availability Bias

Repeated exposure to particular stocks or narratives makes them mentally salient and perceived as more likely to succeed.

Practical implication: Even when investors verify information, social media changes salience and emotional context — nudging attention and risk tolerance. Future modules: statistical correlation analysis, policy implications, and educational interventions to reduce bias.

Perception of Social Media's Influence

A survey of 204 investors revealed diverse perspectives on social media's role in investment decisions.

128

Neutral/Mixed Impact

Most respondents view social media as having balanced or uncertain influence

47

Negative Impact

A significant minority perceive harmful effects on investment quality

29

Positive Impact

Limited number report beneficial influence on decision-making

> Insight: Social media functions primarily as an information platform rather than a decision-making authority among investors.

Key Findings from Research

Financial Awareness

Social media platforms increase exposure to financial concepts and market movements

Idea Discovery

Investors actively use social media to identify potential investment opportunities

Independent Verification

Most investors cross-check social media information with reliable sources

Critical Evaluation

Experienced investors rarely follow social media advice without thorough analysis

Study Limitations

Understanding the scope and constraints of this research is essential for proper interpretation of findings.

Sample Size

Survey limited to 204 respondents, restricting broader generalisations about investor populations

Self-Reported Data

Information based on participant responses, potentially subject to recall and response bias

Focus Scope

Research concentrated exclusively on social media influence, excluding other communication channels

Additional Factors

Financial literacy levels, economic conditions, and individual risk tolerance were not deeply analysed

Conclusion

The Transformation

Social media has fundamentally transformed the flow of financial information, democratising access to market insights and investment ideas previously limited to institutional players.

The Reality

However, investors predominantly use these platforms for information discovery rather than final decision-making. Investment choices rely heavily on personal research, accumulated experience, and rational judgement.

Final Assessment: Social media serves as an information gateway that expands awareness and sparks ideas, but it does not replace traditional due diligence or professional analysis in investment decision-making processes.

Thank You